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The Philosophy Matures

Our entry into World War II was not entirely without some significance in the development of my investment philosophy. Early in 1942 I found myself in an unaccustomed role as a ground officer doing various business related jobs for the Army Air Corps. For three and a half years, I simply “beached” my business as I performed my not very valuable services on behalf of Uncle Sam. In recent years, I have frequently said that I did quite a job for my country. Neither Hitler nor Emperor Hirohito ever succeeded in getting a man into the territories I defended. These were Arkansas, Texas, Kansas, and Nebraska! At any rate, during this time of various desk type jobs wearing Uncle Sam's uniform, I found that almost without warning I would alternate between two different types of periods. For a while, I would have so much to do that the last thing I would be able to think about was my peacetime business. At other times, I would sit at my desk with very little to do. When things were slow, I found it less unpleasant to analyze in great detail just how I would build up my business when the happy day that I would no longer be wearing a uniform might arise than it was to think of the personal living and Army type problems with which, from a short-range point of view, I was confronted. It was during such periods that my present investment philosophy took steadily more definite shape. It was then I decided there was not enough future in the type of in and out trading that I have described in the stock of California Packing.

During this period, I reached two other conclusions that were to be of some significance to my future business. Before the war I had served all types of clients, large and small, with varying types of objectives. Most, but not all, of my business had been focused on finding unusual companies that would enjoy significant, above-average growth in future years. After the war, I would limit my clientele to a small group of large investors with the objective of concentrating solely on this single class of growth investment. For tax reasons, growth was more likely to benefit these clients.

My other major conclusion was that the chemical industry would enjoy a period of major growth in the postwar years. Therefore, a high priority